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Case Number: 25STCV27475 Hearing Date: August 27, 2026 Dept: 506

SUPERIOR
COURT OF THE STATE OF CALIFORNIA

FOR THE
COUNTY OF LOS ANGELES - CENTRAL DISTRICT

ROBERT B. COLLADO, et al.,

Plaintiff,

vs.

GENERAL MOTORS, LLC,

Defendant.

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CASE NO.: 25STCV27475

[TENTATIVE] ORDER DENYING MOTION TO STRIKE;
SUSTAINING DEFENDANT'S DEMURRER

Dept. 506

8:30 a.m.

August 27, 2026

On

September 18, 2025, Plaintiffs Robert B. Collado and Marie Perez filed this action against Defendant General Motors LLC arising from Plaintiffs' purchase of an allegedly defective vehicle.

On

January 15, 2026, Defendant filed a demurrer to the fourth and fifth causes of action and a motion to strike.

MOTION
TO STRIKE

The

court may, upon a motion or at any time in its discretion: (1) strike out any irrelevant, false, or improper matter inserted in any pleading; or (2) strike out all or any part of any pleading not drawn or filed in conformity with the laws of California, a court rule, or an order of the court. (Code Civ. Proc., § 436, subds. (a)-(b).)

Defendant

moves to strike Plaintiffs' allegations about entitlement to civil penalties. Defendant argues that Plaintiffs do not plead facts alleging pre-suit compliance pursuant to Code of Civil Procedure section 871.24. Whether Plaintiffs did comply with the statute is a factual matter outside the scope of demurrer, and Defendant cites no binding authority requiring Plaintiffs to allege compliance. If in fact Plaintiffs did not comply with the statute, then civil penalties may not be available, but Defendant is not prejudiced by the allegations remaining in the Complaint.

The motion to strike is denied.

DEMURRER

A demurrer for sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context, accepting the alleged facts as true. (Nolte v. Cedars-Sinai Medical Center (2015) 236 Cal.App.4th 1401, 1406.)

A. Plaintiffs' Fourth Cause of Action is Time-Barred.

Defendant argues that the fourth cause of action for breach of implied warranty is time-barred. (Demurrer at pp. 8-9.)

An implied warranty claim is governed by the four-year statute of limitations period of California's Uniform Commercial Code section 2725. (Mexia v. Rinker Boat Co., Inc. (2009) 174 Cal.App.4th 1297, 1305-1306 (Mexia).) "A cause of action accrues when the breach occurs, regardless of the aggrieved party's lack of knowledge of the breach. A breach of warranty occurs when tender of delivery is made, except that where a warranty explicitly extends to future performance of the goods and discovery of the breach must await the time of such performance the cause of action accrues when the breach is or should have been discovered." (Comm. Code, § 2725, subd. (2).) In contrast to an express warranty, "an implied warranty . . . is not a warranty that 'explicitly extends to future performance of the goods' [Citations.]" (Cardinal Health 301, Inc. v. Tyco Electronics Corp. (2008) 169 Cal.App.4th 116, 134 (Cardinal Health 301).) "The implied warranty of merchantability may be breached by a latent defect undiscoverable at the time of sale." (Mexia, supra, 174 Cal.App.4th at p. 1304.) "In the case of a latent defect, a product is

rendered unmerchantable, and the warranty of merchantability is breached, by the existence of the unseen defect, not by its subsequent discovery. . . . Thus, although a defect may not be discovered for months or years after a sale, merchantability is evaluated as if the defect were known”

(Id. at p. 1305.)

Defendant

argues that any breach of the implied warranty occurred at the time of purchase on January 4, 2020, and the statute of limitations ran four years later, on January 4, 2024. (Demurrer at p. 9.) Plaintiffs filed this action over a year and a half later, on September 18, 2025.

In

opposition, Plaintiffs argue that a claim can be tolled by delayed discovery or fraudulent concealment. (Opposition at pp.

3-6.) But Plaintiffs cite cases that are

either nonbinding federal orders or do not involve the statute of limitations for implied warranties. (Ibid.) Plaintiffs do not refute that the cause of action

accrued when the breach occurred (when tender of delivery was made) and that an

implied warranty does not explicitly extend to future performance of the goods. (See Comm. Code, § 2725, subd. (2); Cardinal

Health 301, supra, 169 Cal.App.4th at p. 134.)

The

demurrer to the fourth cause of action is sustained.

B. Plaintiffs' Fifth Cause of Action Is Not
Facially Time-Barred.

Defendant

argues that the fifth cause of action is barred by the three-year statute of limitations. (Demurrer at pp. 9-10; see Code Civ. Proc., §

338, subd. (d).)

To

sustain a demurrer on the statute of limitations, the running of the statute must

appear clearly and affirmatively on the face of the complaint. (Geneva Towers Ltd. Partnership v. City of San Francisco (2003) 29 Cal.4th 769, 781.)

“[I]t is not enough that the complaint might be time-barred. [Citation.]”

(Ibid.)

Plaintiffs

allege that “the running of the limitation periods have been tolled by, inter alia, the following doctrines or rules: equitable tolling, the discovery rule, equitable estoppel, the repair rule, and/or class action tolling (e.g., the American Pipe rule).” (Complaint ¶ 23.)

“The

general rule is that the statute of limitations begins to run when the wrongful act is done, even though the plaintiff is ignorant of his or her cause of action or of the identity of the wrongdoer.” (Snow

v. A. H. Robins Co. (1985) 165 Cal.App.3d 120, 127.) The running of the statute of limitations may

be postponed on certain causes of action until the time of discovery of the facts. (Ibid.) “With respect to actions based on fraud, the statute

of limitations is tolled whenever plaintiff is able to show the defendant fraudulently

concealed facts which would have led him to discover his potential cause of action.” (Id. at pp. 127-128.)

Plaintiffs

allege that the parties entered into a warranty contract on January 4, 2020. (Complaint ¶ 6.) Before Plaintiffs purchased the vehicle, Defendant

knew about the Transmission Defect. (E.g.,

Complaint ¶¶ 47-51.) “Plaintiffs discovered

Defendants' wrongful conduct alleged herein July 29, 2025, when Plaintiffs requested

a buyback and/or restitution of the Subject Vehicle from GM.” (Complaint ¶ 24.)

The

Complaint does not facially show that the statute of limitations bars this cause of action. It is not clear from the face

of the Complaint when Plaintiffs should have discovered that Defendant concealed information about the vehicle's defects.

The

demurrer is overruled on this ground.

C. Plaintiffs' Fifth Cause of Action Fails
to Plead Fraud With Specificity.

Defendant

argues that the fifth cause of action for Fraudulent Inducement – Concealment does not allege facts with the requisite specificity. (Demurrer at pp. 10-16.)

Fraud

based on concealment requires that “(1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (Bigler-Engler v. Breg, Inc. (2017) 7 Cal.App.5th 276, 310-311 (Bigler-Engler).) “Even under the strict rules of common law pleading, one of the canons was that less particularity is required when the facts lie more in the knowledge of the opposite party.” (Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 1256, 1384.)

An

essential element of intentional concealment includes the duty to disclose, which must be based upon a transaction, or a special relationship, between plaintiff and defendant. (Id. at p. 314.) “There are ‘four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.’”

(Id. at p. 311.) “[O]ther than

the first instance, in which there must be a fiduciary relationship between the parties, ‘the other three circumstances in which nondisclosure may be actionable presuppose[] the existence of some other relationship between the plaintiff and defendant in which a duty to disclose can arise. . . . “[W]here material facts are known to one party and not to the other, failure to disclose them is not actionable fraud unless there is some relationship between the parties which gives rise to a duty to disclose such known facts.” [Citation.]’ [Citation.]”

(Hoffman v. 162 North Wolfe LLC (2014) 228 Cal.App.4th 1178, 1187

(Hoffman).) “Such a transaction must

necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (Bigler-Engler, supra, 7 Cal.App.5th at p. 312.)

Plaintiffs allege that Defendant knew about

the Engine Defect before the sale of the vehicle. (Complaint ¶ 51; see Complaint ¶ 48 [listing defects].) Plaintiffs did not know about these defects and problems, and Defendant, who had superior knowledge of the defect, did not disclose the defects when Plaintiffs purchased the vehicle. (E.g., Complaint ¶¶ 51-54.) These allegations are specific enough to allege the information that was concealed and the danger posed. (See *Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1187, 1199-1200.)

However,

Plaintiffs do not allege facts showing the existence of a relationship between the parties that gives rise to a duty to disclose facts. (See *Hoffman*, supra, 228 Cal.App.4th at p. 1187.) Plaintiffs allege that Defendant

“knew that the Vehicle and its 10-speed transmission suffered from an inherent defect, was defective, would fail prematurely, and was not suitable for its intended use.” (Complaint ¶ 52.) There are no facts showing that Defendant’s knowledge was exclusive or that Defendant intended to defraud. Indeed, Plaintiffs alleges that there were prior customer complaints, suggesting that the knowledge was in fact public. (Complaint ¶ 53.)

Moreover,

in a transaction that does not involve fiduciary or confidential relations, the “transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” (*Bigler-Engler*, supra, 7 Cal.App.5th at pp. 311-312.) Plaintiffs allege no such direct transaction with and direct concealment by Defendant.

The

demurrer is sustained on this ground.

D. Plaintiffs’ Fifth Cause of Action is Barred by the Economic Loss Rule.

Defendant

argues that the fifth cause of action is barred by the economic loss rule. (Demurrer at pp. 16-18.)

Under

the economic loss rule, “[w]here a purchaser’s expectations in a sale are frustrated because the product he bought is not working properly, his remedy is said to be in contract alone, for he has suffered only ‘economic’ losses.” (*Robinson Helicopter Co., Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 988 (*Robinson*), quotation marks omitted.) However, tort damages may be permitted when the breach of contract is accompanied by a tort such as fraud. (*Id.* at pp. 989-990.) To plead around the economic loss rule, a party must plead the existence of a duty that arises independent of any contractual duty

and independent injury, other than economic loss, that arises from the breach of that duty. (Id. at pp. 988-991.)

“[U]nder

California law, the economic loss rule does not bar [a claim] for fraudulent inducement by concealment. Fraudulent inducement claims fall within an exception to the economic loss rule recognized by our Supreme Court” in Robinson, and such claims allege fraudulent conduct that is independent of the alleged warranty breaches. (Dhital v. Nissan North America, Inc. (2022) 84 Cal.App.5th 828, 843.) The Supreme Court has confirmed that “the economic loss rule does not apply to limit recovery for intentional tort claims like fraud.” (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 38.) “A plaintiff may assert a tort claim for fraudulent concealment based on conduct occurring in the course of a contractual relationship, if the elements of the cause of action can be established independently of the parties’ contractual rights and obligations and the tortious conduct exposes the plaintiff to a risk of harm beyond the reasonable contemplation of the parties when they entered into the agreement.” (Ibid.)

Accordingly,

a properly pleaded claim for fraudulent inducement is not barred by the economic loss rule. Here, however, Plaintiffs do not establish all elements of fraudulent concealment independently of the parties’ contractual rights and obligations.

Additionally,

Plaintiffs fail to allege any independent duty or harm beyond the terms of the contractual relationship, and only economic damages from breach of warranty are alleged. Plaintiffs “were harmed by purchasing a vehicle

that Plaintiffs would not have leased and/or purchased had Plaintiffs known the true facts about the Transmission Defect.”

(Complaint ¶ 57.) This harm is purely economic from the purchase of the vehicle.

Plaintiffs’ allegation that they “unknowingly exposed themselves to the risk of liability, accident and injury as a result of Defendant GM’s fraudulent concealment of the Transmission Defect” (Complaint ¶ 57) does not state that Plaintiffs in fact were damaged. Unknown risk that does not result in liability or injury by definition is not actual damage. (Small v. Fritz Companies, Inc. (2003) 30 Cal.4th 167, 202 [“Misrepresentation, even maliciously committed, does not support a cause of action unless the plaintiff suffered consequential damages,” concurring opinion]; Boschma v. Home Loan Center, Inc. (2011) 198 Cal.App.4th 230, 248

["as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage"].)

Plaintiffs'

only alleged harm is the economic harm from the purchase of the vehicle, which was within the reasonable contemplation of the parties when they entered into the agreement. (See Rattagan, supra, 17 Cal.5th at p.

38.) Accordingly, this cause of action is barred by the economic loss rule.

The demurrer to the fifth cause of action is sustained.

CONCLUSION

The motion to strike is DENIED.

The demurrer is SUSTAINED.

At the hearing, Plaintiffs should be prepared to explain what additional facts will be pleaded and exactly how any amendments can remedy the deficiencies of the Complaint without making it a sham pleading. The Court will decide at the hearing whether to grant leave to file a First Amended Complaint.

IF LEAVE TO AMEND: Plaintiffs are granted 30 days' leave to amend.

IF NO LEAVE TO AMEND: Defendant is ordered to file an answer to the remainder of the Complaint within 10 days.

Moving party to give notice.

Parties

who intend to submit on this tentative must send an email to the Court at indicating intention to submit. If all parties in the case submit on the tentative ruling, no appearances before the Court are required unless a companion hearing (for example, a Case Management Conference)

is also on calendar.

Dated this 27th day of August 2026

Hon. Thomas D. Long

Judge of the Superior
Court